undertaking to scale up its Paperboards business. The proposed acquisition will substantially enhance capacity, and in a more cost-efficient manner. In addition, the acquired plant's locational advantage will provide proximity to key raw materials and enable better servicing of customers.

Your Company's proprietary knowledge and knowhow will contribute to significant cost optimisation and superior customised solutions. Consequently, the acquisition is expected to be EPS-accretive in the first year of operations, whilst driving overall profitability improvement with a targeted increase of 30% to 40% in EBITDA per ton over normalised levels after 2 full years of operation.

In addition to scaling up your Company's core portfolio, **Horizon 2** envisages new vectors of growth through the development of sustainable solutions to substitute single-use plastics. A wide range of recyclable or compostable materials as also offerings with proprietary **patented barrier coatings** have been developed, which are today commercially available under the **'Filo'** and **'Bioseal'** series. Since its launch, this new vector has grown at **2.4x of FY22 levels**.

The **Horizon 3** initiative focuses on complex, engineered high-quality Moulded Fibre Products made from renewable natural raw materials such as wood, bamboo, bagasse and wastepaper. ITC's state-of-the-art facility in Madhya Pradesh has recently commenced operations to manufacture and export these innovative products under the **'Fyba'** brand.

Your Company's core portfolio, together with the new vectors, holds immense promise given the headroom, growing consumer awareness and regulatory requirements.

Anchoring NextGen Agriculture

> **Your Company has spearheaded multi-dimensional interventions to build a future-ready portfolio that also empowers millions of farmers and addresses the urgent need to build climate resilience, a critical need to ensure food and nutrition security. Today, ITC's Agri Business is one of the largest procurers of agri-commodities in the country, supporting over 20 agri value-chains and sourcing over 3.5 million tonnes from 22 States.**

While ITC is scaling up its core agri-commodity segment, comprising high-quality grains, oilseeds as well as its Leaf Tobacco business, a major thrust is being accorded to **Horizon 2** initiatives in developing **value-added agri-products**, including categories like spices, coffee, horticulture and aqua products. In the last 5 years, this portfolio has registered a 2x growth demonstrating immense potential. Your Company's subsidiary, **Technico**, has become the world's largest pre-basic potato seed producer and is also working with 15 leading global breeders to develop climate resilient varieties.

As part of the **Horizon 3** initiatives, your Company is developing future vectors in areas with enormous potential such as biological extracts and ITCMAARS to usher in Next Generation agriculture. Substantive investments have been made to develop an ecosystem for Medicinal and Aromatic Plants in a 100-acre farm in Madhya Pradesh. Extensive farmer training to promote such traceable and value-added crops has led to its cultivation in 4,000 acres. While Ashwagandha and Turmeric extracts are being progressively provided to the nutraceutical and cosmetics industry, your Company's ongoing R&D endeavours are aimed at developing proprietary formulations for specialised value-chains.

The **ITCMAARS phygital ecosystem** has evolved, into a dynamic and integrated full stack solution for farmers and also as a robust marketplace. It has been spearheading the crucial need to empower farmers by promoting FPOs as dynamic collectives, enabling their transformation into progressive rural enterprises. ITCMAARS, building further on the physical network of your Company's **e-Choupal**, currently supports over **2,050 FPOs**, encompassing over **22 lakh farmers in 11 States** as well as **100 active partnerships** for specialised solutions.

> **Today, this vibrant platform provides AI-enabled hyper-local, personalised crop advisories, image-led diagnostics, access to credit, high quality inputs including biologicals and drones for nano nutrients, efficient market linkages and the expertise of agri-tech start-ups. ITC is also developing an ecosystem of local entrepreneurs inspired by the 'Drone Didis' model to establish Farming as a Service. It is encouraging that focused interventions have already led to the reduction of fertiliser use as well as increase in crop yields by 15-20%, increasing net returns to farmers by 25-30%.**

ITCMAARS is indeed poised to emerge as a robust business of the future, lending formidable competitive strength to the Company's agri and foods businesses and in shaping new opportunities, whilst significantly empowering farmers.